



37800: Marketing Management

Pricing

Brad Shapiro

Bradley.Shapiro@chicagobooth.edu

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Ingredients to Good Pricing

- Consumer Preferences
- Marginal Costs
- Competition

Boston, February 2015



Auto execs are coming clean: EVs aren't working

Alexa St. John and Nora Naughton Oct 26, 2023, 11:43 AM CDT

They already sold to the high WTP customers, but did not realise that once sold, they have to address the next segment of lower WTP customers. Therefore, TESLA had to reduce the price of Model S and X (after putting in a high batch order production). Tesla inadvertently used price skimming method.



General Motors CEO Mary Barra. Nic Antaya / Stringer / Getty Images



37800: Marketing Management

Pricing II

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Before we get started

- Pricing is one of the most interesting topics in marketing.
- This lecture will cover a ton of ground at a reasonably superficial level.
- This will get you a taste of the topics that you could spend entire careers thinking about.
- If you like these topics, definitely look forward to the Pricing elective.

Outline for Today

- Pricing to different segments
- Different prices over time
 - Skimming, Penetration Pricing
 - Promotions
- Different consumers, different prices
 - Direct segmentation
 - Indirect segmentation
 - Consumers self-select into purchasing the “right” product

Durable goods = use skimming
Non durable = use penetration pricing?

Takeaways from Yesterday

- Pricing
 - Optimal Pricing → constrained optimization
 - Almost always exclude some customers
 - Competitive reaction – iterate to fixed point
 - Take your competitors' current prices as given
 - Figure out the best response function of your competitors
- 3 ingredients to price setting:
 - WTP
 - *Marginal* (not fixed) cost
 - Competition/Next Best Alternative

Getgoing.com

THE GETAWAY

Taking Some Mystery Out of Blind Booking



Liz Meyer

By SUSAN STELLIN
Published: March 28, 2013

“you choose two places you would like to visit (say, Miami and Los Angeles), select your travel dates and flights, then enter your credit card details. GetGoing randomly chooses one of the two trips and books your ticket, which you can’t change or cancel.”

Price Discrimination Outline

- Pricing to different segments
- Different prices over time
 - Skimming
 - Penetration Pricing
 - Promotions
- Different consumers, different prices
 - Direct segmentation
 - Indirect segmentation
 - Consumers self-select into purchasing the “right” product
- When does this go “too” far

Durable goods: Price Skimming

- With durables, consumers have the choice:
Do I buy today or do I buy tomorrow?
 - (for simplicity assume no repurchase)
- The key: People who buy early might be different than those that buy late
 - Higher WTP
 - Inherent value to being an early adopter

Recall the earlier example on TESLA.

and if there is inherent value to being early adopter, then can charge more for early adopters (who has higher WTP)

Segmenting Consumers Across Time

- The simple case
- Two consumers:
 - Consumer 1: WTP today 9, WTP tomorrow 3
 - Consumer 2: WTP today 4, WTP tomorrow 4
- Purchase either today or tomorrow

But this can break!

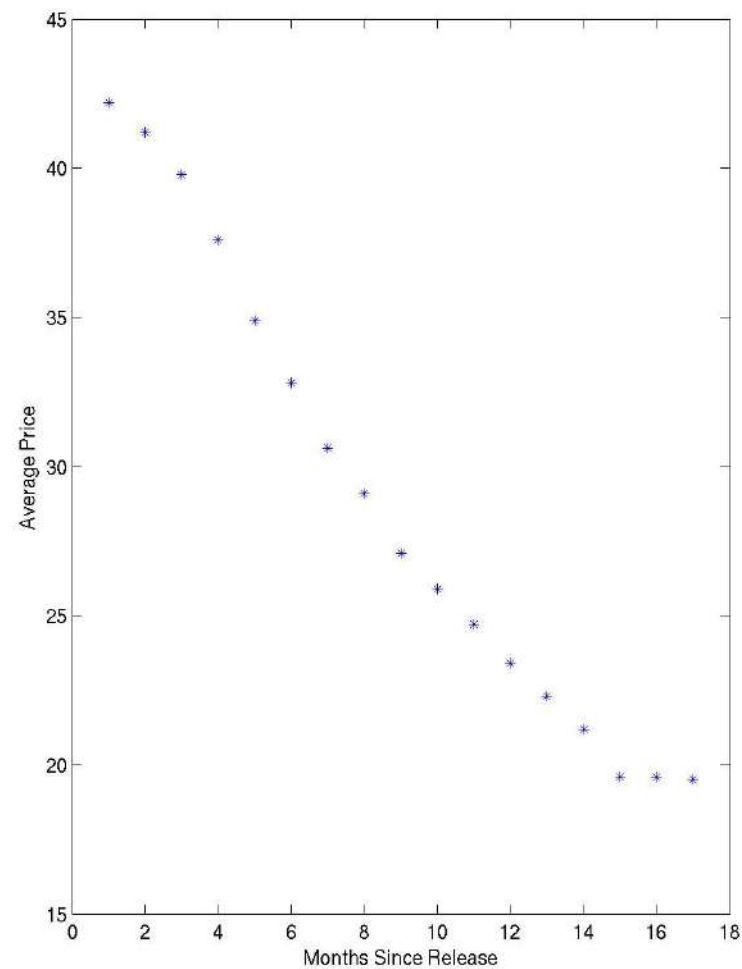
- More complicated
- Two consumers:
 - Consumer 1: WTP today 9, WTP tomorrow 9
 - Consumer 2: WTP today 4, WTP tomorrow 4
- Purchase either today or tomorrow
- What happens if you implement the same pricing scheme?

How to bind our hands to charge high price? do a price protection guarantee (this sounds pro-customers, but actually it allows us to keep the selling price high without the consideration to lower the price subsequently)

Key Difference

- Model 1:
 - Consumers who have high WTP also have high discount rates
- Model 2:
 - Consumers with high WTP, are more patient
- Reality:
 - A combination of the two
- Conclusion:
 - 1) Commit and sell to only high guys (or low guys)
 - 2) Moderate your decrease in price path

Durable Goods Prices Falling



Source: Nair, Harikesh (2007)

Are Your Consumers Myopic?

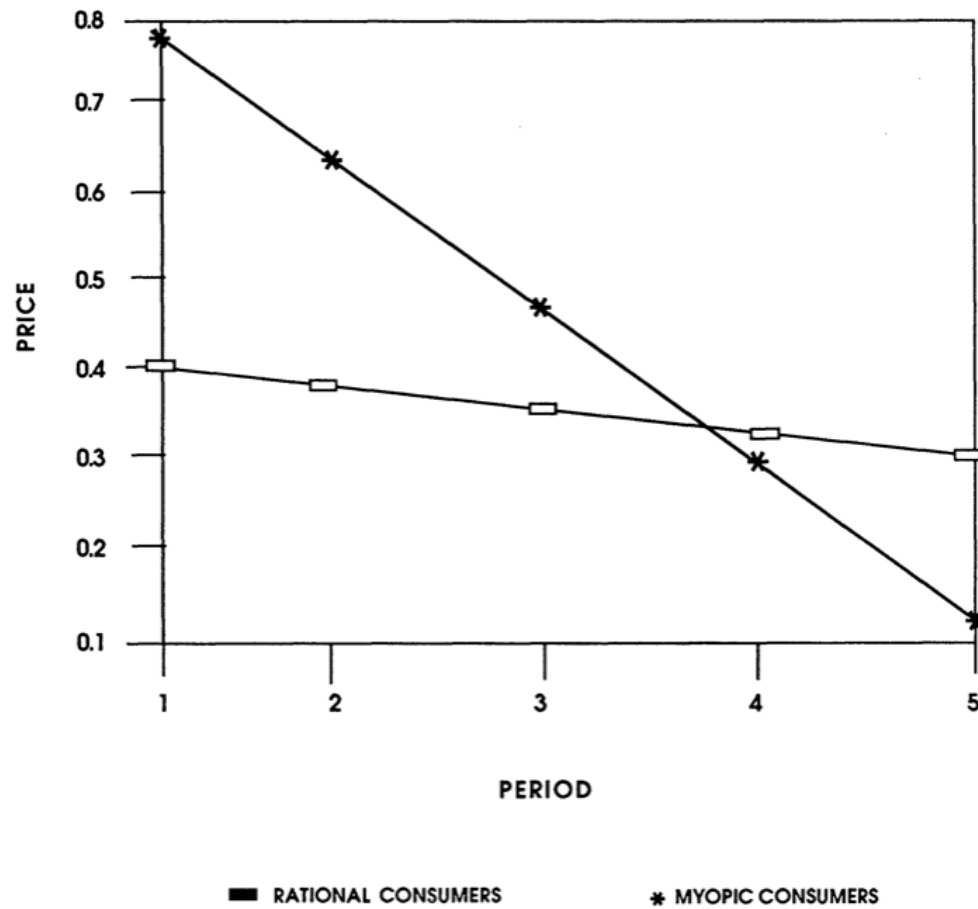
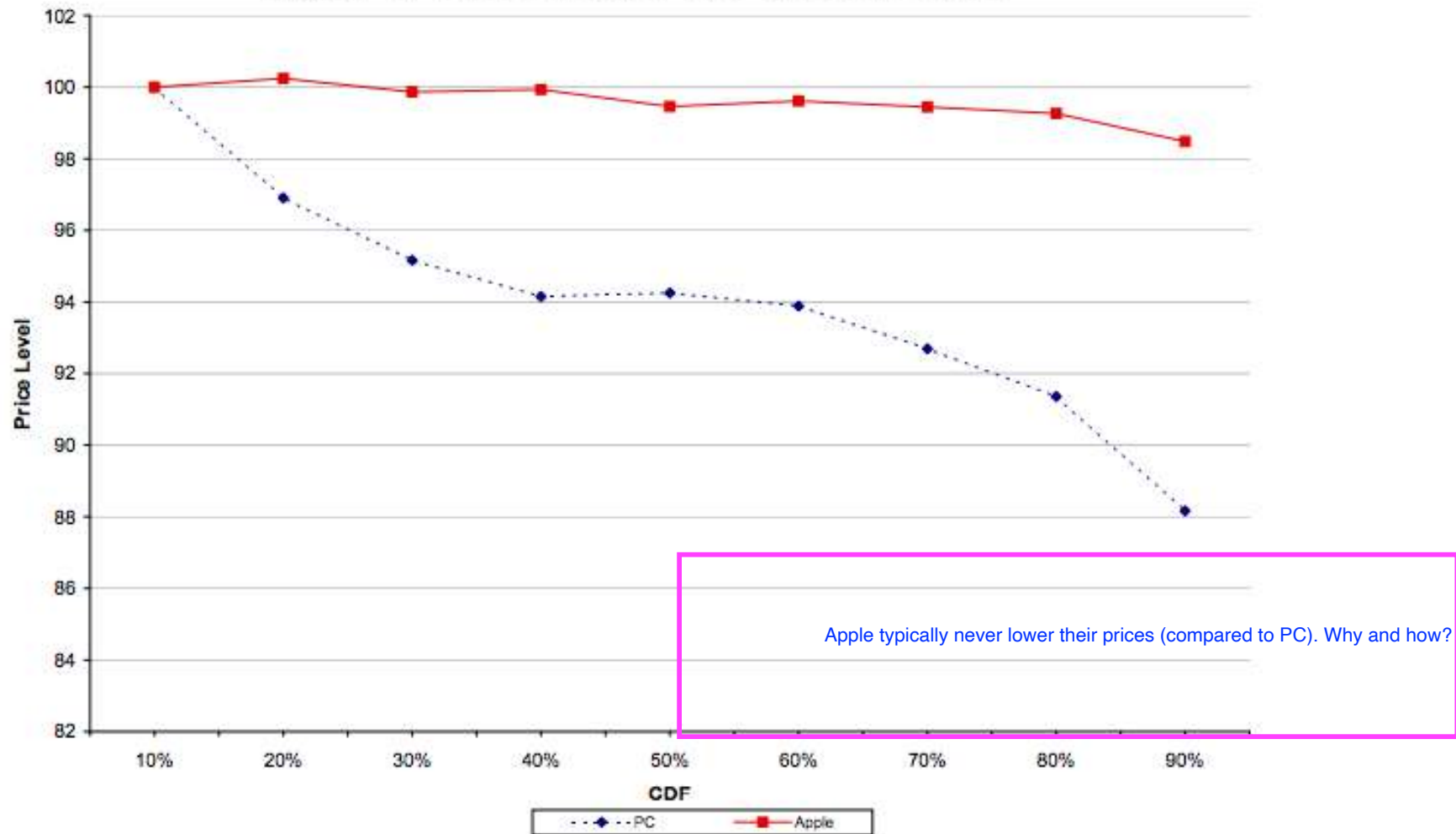


FIGURE 1. Comparison of Prices.

The Value of Commitment

Figure 2: Price Declines over Product Cycle



What about Competition?

- What if a competitor can introduce the same product tomorrow?
- Commitment no longer works
 - Competitors will come in and steal your business
- Prices will be lower in the second period
 - If consumers know this, will lead them to wait

Does it solve everything?

iPhone / iPad / iPod

- iPhone
- iPad
- iPad Mini
- iPod Touch
- iPod Shuffle
- iPod Nano
- iPod Classic

Portables

- MacBook Pro
- Retina MacBook Pro
- MacBook Air

Other

- Displays
- Apple TV

Desktop Macs

- Mac Mini
- iMac
- Mac Pro

MacBook Air



Recommendation Don't Buy - Updates soon
Last Release June 11, 2012
Days Since Update 335 (Avg = 322)

Recent Releases

■	???	335 days
■	Jun 2012	327 days
■	Jul 2011	273 days
■	Oct 2010	499 days
■	Jun 2009	237 days
■	Oct 2008	273 days

If people can predict when the next model will be launch, they may wait it out.

Durable goods lessons

- Need to think about consumers substituting to tomorrow:
 - Competition with yourself
- Would like to segment consumer types
 - WTP is correlated with a high discount factor (impatience)
 - Price declines over time (skimming)
 - WTP is not correlated with discount factor
 - 1) Commit to a high (low) price throughout
 - 2) Find another characteristic that is correlated with WTP

Non-durables: Penetration Pricing

- Consumers (might) purchase every period
- Therefore, adoption will be driven by two things:
 - Percentage of people who try your product
 - Percentage of those that decide to repeatedly purchase

Charge lower first. Why? we might not know who has the higher WTP. so charge lower for more people to try it. then for repeat customers, we gradually increase price for them with higher WTP.

- Increasing price path might be worthwhile (penetration pricing)

Non-durables: Penetration Pricing

- Targeting is important!
 - Need to encourage the *right* people to try early
 - Those that will like it
 - And buy in the future
 - Tell their friends
 - Why? Because if you just get low WTP to buy with your discount, it is a wasted investment. They won't buy again at the high price later!

How to not target low WTP folks?

- Might be practically difficult to increase price.
 - Implement using free samples, coupons, advertising

Summary

- Non-durables
 - Consumer re-purchase rates will drive long term patterns
- Want to attract best customers for your product
 - Perhaps charge them less at first because they will re-purchase in the future
 - Only if there is this “state-dependence”
- Leads to a strategy of penetration

Price Promotions

- Now, think about products which are not new.
- When do you want to provide discounts on those products and why?

Pizza During the Super Bowl



- The amount of pizza that Pizza Hut expects to sell equals 23 million feet of pizza
- Domino's Pizza [expects] an 80 percent increase in sales volume from a typical Sunday.

Pizza During the Super Bowl

Best Super Bowl Sunday pizza deals: Papa John's, Pizza Hut, and more

SUPER BOWL PIZZA SPECIALS | FEBRUARY 1, 2013

RELATED ARTICLES: [Pizza Coupons](#) [Restaurant Deals](#) [Papa John's Menu](#) [Calories and Food](#)



Domino's \$10 5-topping deal

Load up on your favorite meat or veggie toppings with Domino's large 5-topping pizza, scheduled to be just \$10 delivered during the Super Bowl game. Or use coupon code **EMTN5FT4** to order two large 2-topping pizzas for \$7.99 each. [Click here to order.](#)



Domino's Pizza



What About Prices?

Coke During Hot Weather



Roses During Valentine's Day?



What is the 'price' of next best alternative? sleeping on couch?
arguments? it is expensive, therefore Roses can be priced really high.

“An estimated 198 million roses were produced last year just for Valentine's Day.

The average Valentine's Day price for a dozen florist-arranged, long-stemmed roses in the United States is just above \$73. At other times of the year, it's just more than \$59.”

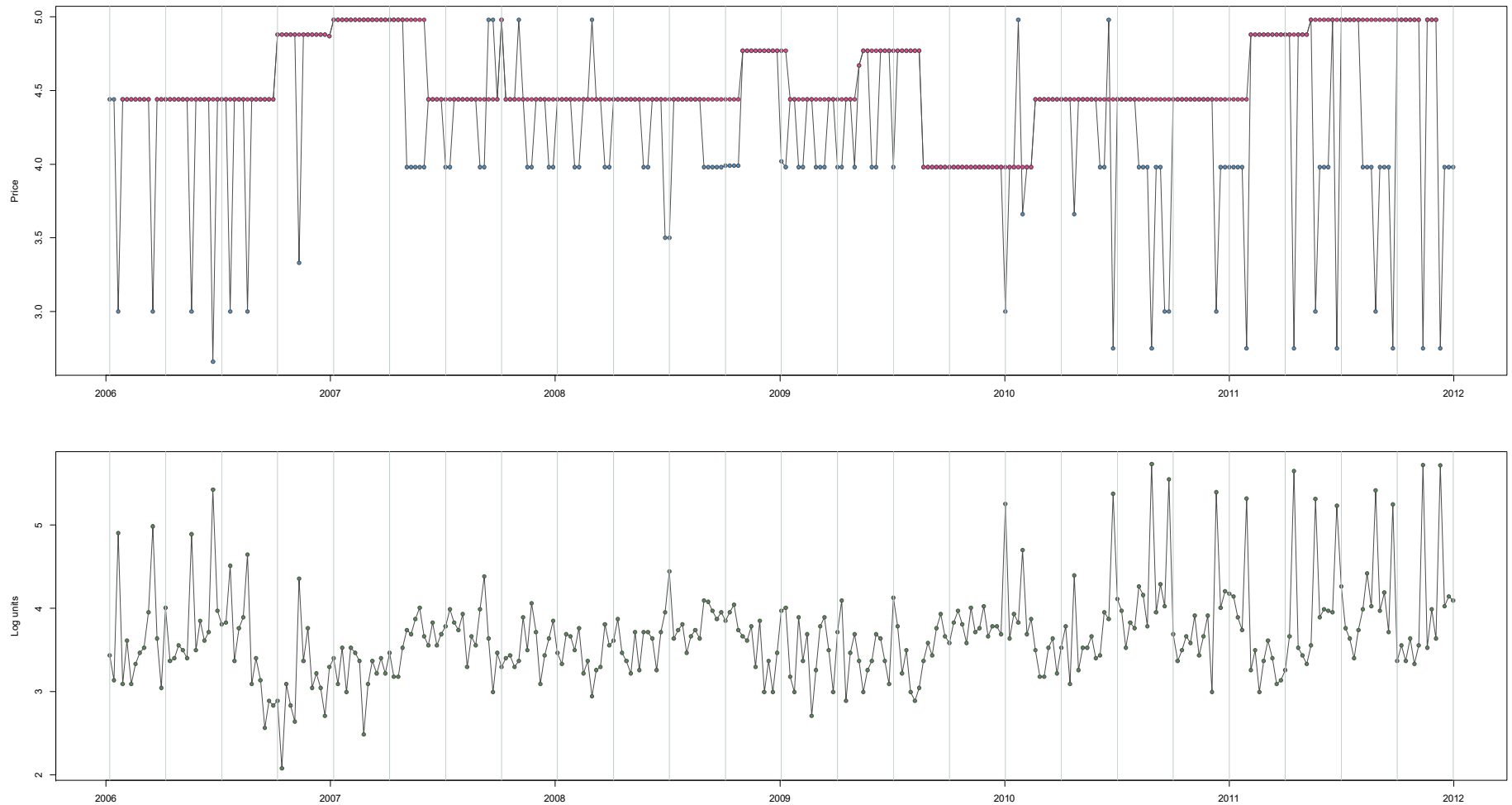
Prices and Demand Shifts

- Pieces to the puzzle:
 - What are the shifts in WTP for “loyal” consumers
 - How does the population of consumers change?
 - How many new customers?
 - What is their WTP?
 - Do these purchase different products during demand shifts?
 - What are the substitutes

Thinking More Generally

- How can we increase revenue by
 - 1) Recognizing changes in the population of consumers that show up to your door
 - 2) Acting strategically to set the right price to the target consumer group
 - Encourage the target group to show up at the right time
- This is the basis of promotional theory

Price of Coke?



INGLES MARKETS - Oconee County, SC. UC store ID: 2401296. Missing weeks: -0.32 %

Unpredictable timing for discounts. So that the high WTP customers do not intentionally show up to grab the discounts.

Theory Behind Promotions



Different WTP and different costs of
“time-shifting”

Theory Behind Promotions

- Consumers dislike shifting their times schedules:
 - $U_L = 12 - s - p$
 - $U_H = 16 - 12s - p$
- Both prefer to shop on Sunday and pay a cost for shopping on Monday
 - $S = \{0, 1\}$
- Options: same price on Monday and Sunday
- Or promote on Monday and have a regular price on Sunday

Other ways of doing the same thing?

Coming Soon: Toilet Paper Priced Like Airline Tickets

Article

Video

Graphics

Stock Quotes

Comments (74)

Email

Print

Save



By JULIA ANGWIN and DANA MATTIOLI



It used to be only fares that changed every minute. But now, prices of everything from clothing to toilet paper are fluctuating dramatically online. Julia Angwin explains on The News Hub.

The fast-moving Internet pricing games used by airlines and hotels are now moving deeper into the most mundane nooks of the consumer economy.

Deploying a new generation of algorithms, retailers are changing the price of products from toilet paper to bicycles on an hour-by-hour and sometimes minute-by-minute basis.





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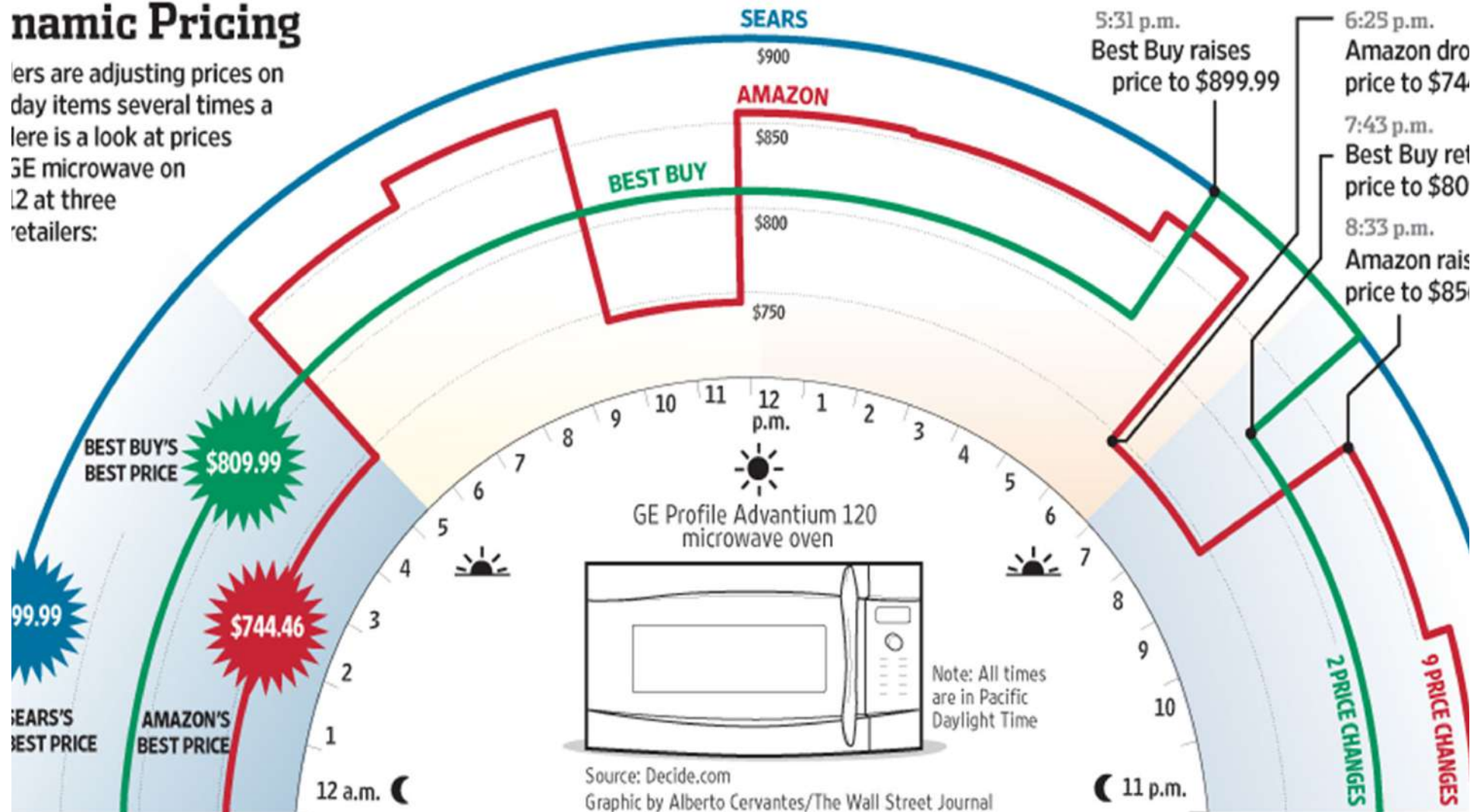
1. About 35 Hurt in Prague G

2. Opinion: Exempting Congress From

Other ways of doing the same thing?

Dynamic Pricing

Retailers are adjusting prices on everyday items several times a day. Here is a look at prices for a GE microwave on Amazon, Best Buy, and Sears at three retailers:



The Tradeoff

- Leakage

Need to find a way to inconvenience the high WTP customers to prevent leakage.

- Some of the consumers would have purchased anyway (at the higher price) now get a discount.

- This is a fundamental tradeoff that will come up over and over again

- You want to drop price for people that will shift to buying your product, not necessarily those that already are

Other Reasons for Price Drops?

- Loss Leaders
 - Fixed costs of going to the store
- Create consumer switching costs
 - Once they try a product “tend” to stick with it.
 - This is really just penetration pricing.
- Clear excess inventory
 - Marginal opportunity cost of stocking product has become high.

Concerns with Price Promotion

- Make customers more price sensitive, less brand-focused
 - High-valuation customers might become low-valuation customers!
- Consumers may change reference points
- Easily copied by competition, leading to price wars
- Consumers simply substitute forward / stockpile

Takeaways: Price Promotions

- Promotions are a way of separating consumer types
 - Sometimes these separations happen naturally
 - Turkey during Thanksgiving, Pizza during the Super Bowl
 - Strategically shift the consumers that show up to your door
 - Charge different WTP depending on the elasticity of responding consumers

Different Consumers, Different Prices

- Directly:
 - Charge each person a different price
 - Identify consumers with the “right” characteristics and directly change the price for them
 - Senior citizen discounts
 - Student tickets
 - **Targeted coupons**
- Indirectly:
 - Provide a menu of similar products and consumers self-select into their preferred option
 - Time of day / year (lunch vs. dinner at restaurants)
 - Location (Outlet malls)
 - Purchase Time – Airline tickets

The Holy Grail

- Know every customer's WTP and charge them that exact amount
- Generally, considered very hard to do in consumer markets
 - Remember, this is the whole motivation behind doing segmentation in the first place
- Examples?

Practically impossible to do in consumer goods and b2b market.

because you need a whole lot of data for each customer / potential customer.

Something comes close; Auctions.

Direct Price Discrimination

- Amazon:
 - “In September 2000, Amazon.com outraged some customers. One buyer reportedly deleted the cookies on his computer that identified him as a regular Amazon customer. The result? He watched the price of a DVD offered to him for sale drop from \$26.24 to \$22.74.”

Direct Price Discrimination: 2 Ways

1. Know exact WTP, charge that.
 - Very difficult

2. Use descriptor variables to find segments.
 - Demographic predictors of WTP
 - Senior or student discounts
 - Behavioral predictors of WTP
 - Targeted coupons using past purchase

Different Segments



Example: Pricing Hotel Rooms

PSYCHOLOGY OF MONEY

Orbitz Shows Higher Prices to Mac Users

By Martha C. White | June 26, 2012 | [Add a Comment](#)

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JUSTIN SULLIVAN / GETTY IMAGES

Imagine going for an oil change and finding out that the auto shop charged you a higher price just because you had a luxury car, so they figured you could afford it. You'd probably get ticked off and find another mechanic, right? According to the *Wall Street Journal*, travel website Orbitz.com has begun engaging in an online version of this, showing more expensive hotel offers to people accessing the site from Macintosh computers — a group of customers that spend as much as 30% more on their hotel rooms, according to the company's research.

RELATED

On Orbitz, Mac Users Steered to Pricier Hotels *The Wall Street Journal*

Orbitz Shows More Expensive Options to Mac Users *USA Today*

Different Groups?

The image displays two side-by-side screenshots of the Amazon.com product page for the Seiko Women's SRKZ88 Coutura Diamond Sub-Dial Watch. The left screenshot shows the product page with a Prime membership banner and a 'Six Month Financing' option. The right screenshot shows the same product page but with a different layout, featuring a 'Zoom' button and a 'Share your own customer images' link.

Product Details:

- Product Name:** Seiko Women's SRKZ88 Coutura Diamond Sub-Dial Watch
- Brand:** Seiko
- Price:** \$258.66 (List Price: \$625.00, You Save: \$366.34 (59%))
- Availability:** In stock. Processing takes an additional 2 to 3 days for orders from this seller.
- Shipping:** Ships from and sold by Ace Photo Digital.
- Quantity:** 1
- Buttons:** Add to Cart, Buy now with Two-Day 1-Click[®]—FREE, Add to Wish List, Express Checkout with PayPhrase.
- Financing:** Six Month Financing. No Interest if Paid in Full in Six Months. Purchase this watch or other select watches using the Amazon.com Store Card and pay no interest if paid in full within six months. Minimum monthly payments required. Applies only to products sold by Amazon.com. Does not apply to products sold by third-party sellers.
- Customer Reviews:** 5 stars (3 customer reviews).
- More Buying Choices:** Ace Photo Digital: \$258.66 + Free Shipping. Amazon.com: \$264.54 + Free Shipping. Glamorousw...: \$200.00 + Free Shipping.

Product Specifications:

Watch Information	
Brand Name:	Seiko
Model number:	SRKZ88

Searching for a Flight

SEARCH FLIGHTS → CHOOSE FLIGHTS → TRIP ITINERARY → TRAVELER INFORMATION → COMPLETE PURCHASE → CONFIRMATION

Select Departing Flight

Round Trip ([Start New Search](#))
 Depart: **Chicago, IL (ORD - O'Hare)**
 Arrive: **Milan, Italy (MXP)**
 Date: **Sat, Jul 11, 2015** Time: **Anytime**
 Cabin: **Economy** Travelers: **1**

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United Flights with stops from \$1,550					
from \$1,550 2 tickets at this price Select  FareLock	Depart: 11:00 a.m. Sat, Jul 11, 2015 Chicago, IL (ORD - O'Hare)	Arrive: 2:11 p.m. Sat, Jul 11, 2015 New York/Newark, NJ (EWR - Liberty)	Flight Time: 2 hr 11 min	Distance: 719 miles	Flight: UA712 Aircraft: Airbus A319 Fare Class: United Economy (L) Meal: Snacks for Purchase No Special Meal Offered. See On-Time Performance View Seats
Change Planes. Connect time in New York/Newark, NJ (EWR - Liberty) is 4 hours 19 minutes.					
	Depart: 6:30 p.m. Sat, Jul 11, 2015 New York/Newark, NJ (EWR - Liberty)	Arrive: 8:40 a.m. +1 Day Sun., Jul 12, 2015 Milan, Italy (MXP)	Flight Time: 6 hr 10 min Travel Time: 14 hr 40 min	Distance: 4,010 miles Total Distance: 4,729 miles	Flight: UA068 Aircraft: Boeing 777-200 Fare Class: United Economy (L) Meal: Dinner See On-Time Performance View Seats
from \$1,550 Select 	Depart: 8:00 a.m. Sat, Jul 11, 2015 Chicago, IL (ORD - O'Hare)	Arrive: 11:04 a.m. Sat, Jul 11, 2015 New York/Newark, NJ (EWR - Liberty)	Flight Time: 2 hr 4 min	Distance: 719 miles	Flight: UA394 Aircraft: Airbus A319 Fare Class: United Economy (L) Meal: Snacks for Purchase No Special Meal Offered. See On-Time Performance View Seats

Searching for a Flight 2

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Prices may rise within 7 days

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Sat 12:30a - 10:30p

Show landing times

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United

11:00a ORD → 8:40a MXP 14h 40m 1 stop (EWR)

10:40a MXP → 5:40p ORD 14h 00m 1 stop (EWR)

Select

Show details

Only 2 seats left at this price

Economy

\$1374

United

8:00a ORD → 8:40a MXP 17h 40m 1 stop (EWR)

10:40a MXP → 4:35p ORD 12h 55m 1 stop (EWR)

Select

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Economy

BRITISH AIRWAYS

and the beauty that surrounds its streets.

Compare Sites vs. KAYAK

ORBITZ

Compare

cheapoair

Compare

Airfare.com

Compare

priceline.com

Compare

travelocity

Compare

Expedia

Compare

50

Targeted Coupons

- Begin with your target segment
- Chop it into groups of similar characteristics with different WTP
- Issue coupons to those people

Types of Consumers

- Brand Loyalists
 - Already loyal to you
 - Loyal to your competition
- Brand Switchers
- How do you know who to target?
 - “Even the information contained in observing one purchase occasion boosts net couponing revenue by 50%”

For example, you are selling Chobani. How do you know who are potential brand loyalist? see if they consume your category, your complementary products etc.

Coupons for lifetime value or immediate gains?

- What in the data would you want to see?
- Immediate value:
 - Consumers who switch back and forth across products (whoever is cheapest)
- Long term value:
 - Consumers who *look like* people that purchase your product but haven't yet purchased it.
 - Individual level “penetration” pricing

Direct Price Discrimination: Summary

- Very difficult:
 - Target individual people based on their WTP
- “Second best”:
 - Target consumer groups based on observable WTP
 - Often done with targeted coupons
 - Past purchase data is a rich source of information
 - Be clear. Couponing for lifetime value or short-term gains.
 - Different target groups for these different cases.

Indirect Price Segmentation

- Relies on consumers self-selecting into the product / price pair that they most prefer
- Two types:
 - 1) Find something that is correlated with WTP and segment based on that
 - 2) Offer different prices for similar (but not identical) products such that higher WTP customers are charged more

More implementable and less offensive way to do price seg;
- INDIRECT P.S.

Using Correlation in Preferences



Outlet malls. Intentionally placed in very very hard to reach location.
Parking is horrible, lunch is bad etc.

this allows indirect PS to suss out the low WTP consumers who really
really want the product.
Purposely destroying value to get the low WTP folks.

Different Products

- The most common way of doing this is either with quality or quantity
 - Offer a menu of different quality products aimed at different consumer types
 - Offer different package sizes aimed at different consumers

Utility Functions

- Mac user, PC user, WTP for hotel rooms:

$$- U_M = 300 - p$$

$$- U_{PC} = 195 - p$$

Strategy to induce all of them to purchase;
1. U_{pc}/Low

- Different types of hotel rooms (or not knowing which hotel):

$$- U1_M = 300 - p, U2_M = 150 - p$$

$$- U1_{PC} = 195 - p, U2_{PC} = 125 - p$$

- Assume $MC=0$

Step 1; Participation constraint;
 $U_{pc}(L) = 0$
 $125 - P(L) = 0$
 $P(L) = 125$

Step 2; Leakage constraint.
 $U_m(H) > U_m(L)$
 $300 - P(H) \geq 25$
 $P(H) = 274.99$

Total profit = 399.99

Step 3; Segment at all?
 $P(H) = 300$, profit = 300
 $P(H) = 195$, profit = 390

Conclusion; make sure low WTP participates, and high WTP don't get leakage. Profit = 399

Compare our product features

	Federal Free Edition	Deluxe	Premier	Home & Business
Simple tax returns (1040EZ/1040A)	File for \$0	Start for Free	Start for Free	Start for Free
\$0 federal \$0 state NEW		\$54.99 \$34.99* State additional	\$79.99 \$54.99* State additional	\$104.99 \$79.99* State additional
		MOST POPULAR*		
Easy prep, print and efile	●	●	●	●
Imports your W-2 income	●	●	●	●
Transfers last year's TurboTax return		●	●	●
Covers simple tax situations, including itemized deductions		●	●	●
Covers miscellaneous income and some related expenses (1099-MISC)		●	●	●
Online access to all tax returns on file		●	●	●
Searches 350+ tax deductions and credits (Schedule A)		●	●	●
Extra help to maximize mortgage/property tax deductions (Schedule A)		●	●	●
Includes ItsDeductible™ for donations		●	●	●
Covers sale of stock, bonds and mutual funds (Schedule D)			●	●
Automatic calculation of cost basis (Schedule D)			●	●
Covers rental property income and tax deductions (Schedule E)			●	●
Includes small business income and expense reporting (Schedule C)				●

Different Quality Products



Nissan Altima:
\$19,910



Infiniti G25:
\$32,400

Different Quality Products

- Consumer type 1:
 - $U_1 = 22,000*v - 1.1*p$
- Consumer type 2:
 - $U_2 = 25,000*v - p$
- $V = \{1, 1.2\}$
 - This is the quality of the car
- $MC = \{\$10000, \$10000\}$
- The problem is satisfying “consumers choosing their most preferred bundle”
 - Incentive compatibility

Figure out, do we offer 1 and/or 1.2 quality product? simultaneously (at different price), or exclude a certain segment of consumer? recall; to maximise profits.

Example: Damaged Goods

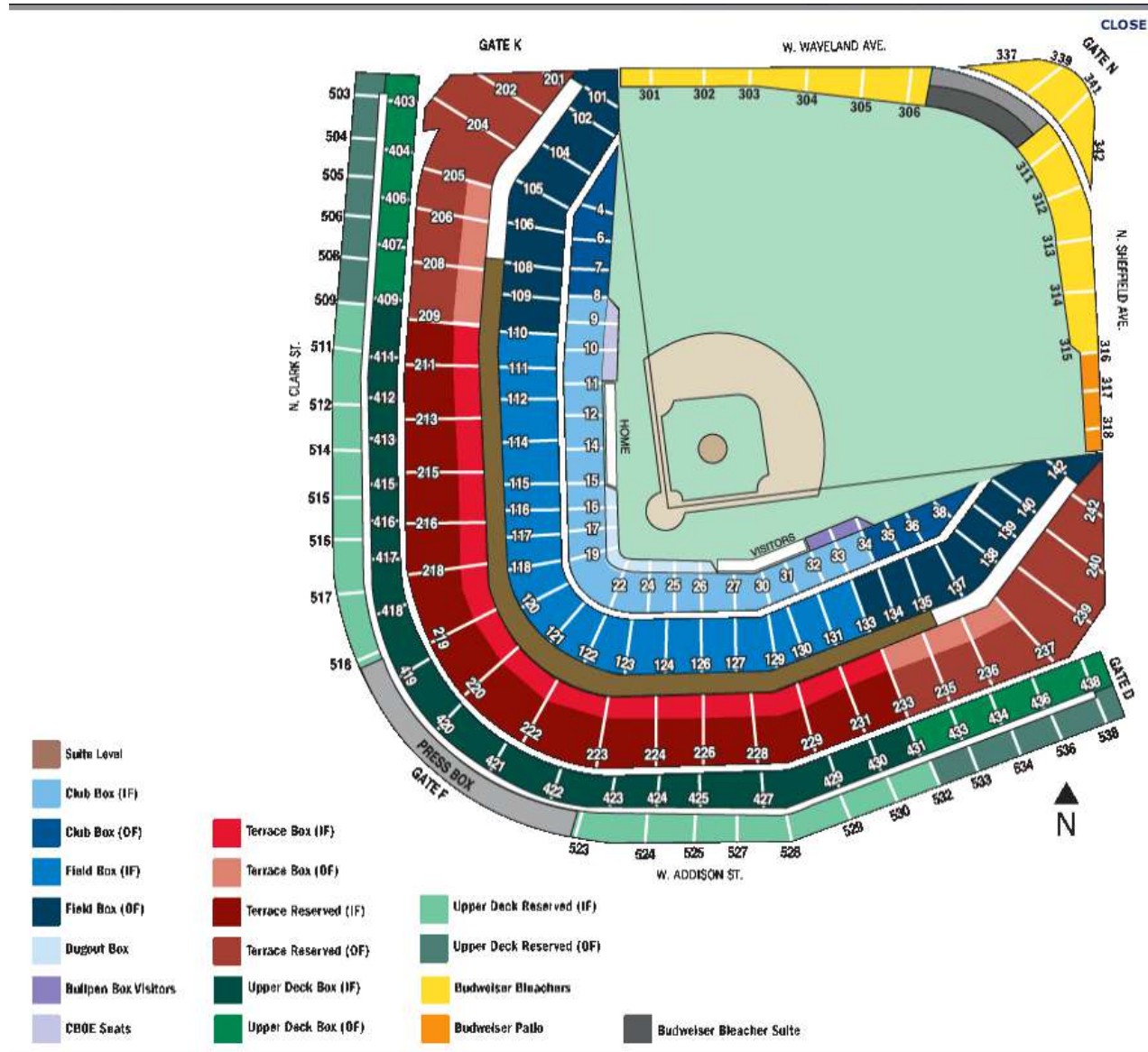


Who are high WTP customers? enterprises and gamers.
They want to still sell it to home consumers. how? they create a secondary quality (lower) pdt to target this market. but what they did is to burn/semi-destroy the chip for the home consumers. (interestingly, the MC for producing the low quality chip is higher). but it prevents cannibalisation.

Bringing it together: MLB Tickets

- How do MLB teams segment consumers by charging different prices?

Different WTP for better seats



Different WTP for different games

2013 Single Game Ticket Prices - Bowl Seating

Section Color	Section Name	Marquee	Platinum	Gold	Silver	Bronze
	Club Box (Infield)	\$114	\$102	\$96	\$75	\$60
	Club Box (Outfield)	\$106	\$91	\$74	\$63	\$45
	Field Box (Infield)	\$108	\$91	\$71	\$63	\$45
	Field Box (Outfield)	\$82	\$72	\$57	\$49	\$37
	Terrace Box (Infield)	\$80	\$65	\$56	\$45	\$29
	Terrace Box (Outfield)	\$59	\$51	\$46	\$39	\$23
	Upper Deck Box (Infield)	\$77	\$65	\$56	\$46	\$26
	Upper Deck Box (Outfield)	\$56	\$48	\$40	\$34	\$17
	Terrace Reserved (Infield)	\$50	\$43	\$33	\$26	\$17
	Terrace Reserved (Outfield)	\$46	\$34	\$29	\$20	\$14
	Upper Deck Reserved (Infield)	\$32	\$28	\$23	\$14	\$10
	Upper Deck Reserved (Outfield)	\$29	\$25	\$20	\$13	\$9

Different prices across time

How dynamic ticket pricing works



By Evan Grant/reporter

egrant@dallasnews.com

2:45 pm on January 8, 2013 | [Permalink](#)



0



3



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[comments \(0\)](#)

Here's a look at how dynamic ticket pricing works:

The Rangers are making their largest block of seats – approximately 9,600 – in the upper reserved locations available via dynamic ticket pricing. What this means is that the price for individual tickets for an individual game will fluctuate from the announced price of \$19 for regular games and \$22 for premier games.

For a mid-week July game against the New York Yankees, already designated a premier game and usually a sellout, prices will likely rise sharply from the \$22 base as the game approaches and inventory dwindles. On the other hand, an early season Monday game against a team that doesn't draw well, like Oakland, could drop prices off the \$19 face value. The ticket price, however, can't drop below \$12, which is the price season ticket holders pay. The intent is to protect the value of being a season-ticket holder.

Tickets: Other Agendas

- Do you think ticket prices are set at their optimal level?
 - “When the Disney star Miley Cyrus (aka Hannah Montana) first toured the US in 2007-2008, tickets with a face value of at most \$64 sold out in approximately twelve minutes, and were then immediately posted on secondary-market venues such as eBay and StubHub at prices that in some instances exceeded \$2,000”
- Other goals:
 - Full stadiums
 - Concessions / t-shirts / parking
 - Products outside of the stadium

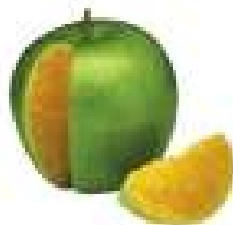
Why Miley Cyrus not charge (price gouge) at \$2000?
Prior to 2007, musicians make money via records sale.
But these days, musicians make money mainly from touring (and much less on streaming). So they have to charge more these days.

Going too far?

- Coke and changing price based on hot weather



Going too far?



Victoria's Not-So-Secret Price Discrimination

Sometimes price discrimination can end up being costly not just to consumers, but also to producers. In 1996 Denise Katzman of New York City sued Victoria's Secret for gender discrimination and asked for millions of dollars in damages. In alleging gender discrimination, Katzman didn't object to the catalog's pages of scantily clad women. Rather, she pointed to the promotional coupon on the catalog's back page.

The problem? While Ms. Katzman's catalog offered her \$10 off an order of \$75, an almost identical catalog for a male friend offered \$25 off the same amount. Was her catalog out of date? Nope. The folks at Victoria's Secret were just engaging in a little "naked" price discrimination.

Men have lower WTP to buy VS products compared to women. So VS tries to give higher vouchers to men.
and men have alternatives (because men buy VS as gifts, they can get chocolates / flowers)

Going too far

- When do consumers get upset with price discrimination?
 - Targeted prices for individuals
 - Immutable characteristics
 - Victoria's secret sued for charging a lower price to men
 - “Exploitation”
 - Snow shovels in a snow storm. Bottled water in a hurricane.
 - *Raising* prices for the same exact product
 - People don't seem to mind a discount
 - Prospect theory...

Optics / expectations;
nobody gets upset at senior discount, 2nd degree price discrim. Avoid
exploitative perception.

Some thoughts

- Price based on group characteristics
- Tie benefits to higher-priced “products”
- Justify changes in price with changes in costs
- Use self-selection
 - Indirectly segmenting rarely seems to upset people because they could have selected the other bundle



Example: Costco



Example: Instacart

The Instacart logo is displayed in a green, rounded, cursive script. The word "Instacart" is written in a single line, with the 'I' having a small loop at the bottom and the 't' having a small leaf-like flourish at the top.

The Role of Competition

- Competition constrains your ability to charge different prices.
- Can think of this as adding an additional constraint into the consumers optimal choice
- In general, not a well-developed theory
- Interaction with CLV (Borenstein & Rose 1994)

Summing Up

- Skimming & Penetration
- Price Promotions
- Direct Price Discrimination
- Indirect Price Discrimination

Summing Up –New Product Dynamics

- Durable goods:
 - Skim when high WTP is correlated with high discount factor.
 - If not, commit to a high price and only serve high WTP consumers
 - If impossible, just price low.
- Non-durable goods:
 - Penetration pricing if there is state-dependence
 - Want the “right” customers to try

Summing Up: Promotions

- Promotions are a way of separating consumer types
 - Sometimes these separations happen naturally
 - Turkey during Thanksgiving, Pizza during the Super Bowl
 - Strategically shift the consumers that show up to your door
 - Charge different WTP depending on the elasticity of responding consumers

The Tradeoff

- Leakage
 - Some of the consumers would have purchased anyway (at the higher price) now get a discount.
- This is a fundamental tradeoff that will come up over and over again
 - You want to drop price for people that will shift to buying your product, not necessarily those that already are nor those who will not repeat

Summing Up: Direct Price Discrimination

- Senior/Student Discounts
- Past purchase tracking/individualized prices
- Examples:
 - Amazon with past purchase info/prime status
 - Airlines with search engine used

Summing Up: Indirect PD

- Consumers self-segment themselves
- 1) Find correlation between WTP and a targeting characteristic
- 2) Create multiple similar products that appeal to different consumer groups
 - Correlation between quality and WTP
- Be aware of consumer reaction to segmentation schemes

Conclusion

- One of the toughest questions in marketing is how to set “fair” prices
 - Price changes over time
 - Different prices to different people
- This is just the tip of the iceberg in terms of one of the most interesting problems in marketing.
- I highly suggest you look forward to “Pricing” from Prof. Dube

Session 8

- Lecture: Advertising
 - Discussion: why is advertising failing and how do we fix it?
 - Lecture: Why do we advertise? How do we measure effectiveness?
- Due
 - Write-up for discussion
 - Price targeting quant assignment